



AI Corporate Tax & Financial Executive Report

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ABC (Pvt) Ltd • Assessment Year: 2025/2026 • Generated: Sep 12, 2026

Executive Financial & Tax Synthesis

ABC (Pvt) Ltd generated Rs. 25.0M in gross operating turnover for Year of Assessment 2025/26 with a strong gross profit margin of 39.2% (Rs. 9.8M). After operating overheads and depreciation, commercial profit before tax stands at Rs. 4.60M. Statutory tax reconciliation under Inland Revenue Act No. 24 of 2017 requires disallowing Rs. 2.10M in non-deductible accounting depreciation and executive entertainment, offset by Rs. 1.50M in Fourth Schedule tax capital allowances, arriving at an estimated taxable business income of Rs. 5.20M and an estimated CIT liability of Rs. 1.56M at the standard 30% rate.

COMMERCIAL PERFORMANCE & MARGINS

Gross Turnover

**Rs.
25,000,000**

Gross Profit

Rs. 9,800,000

Gross Margin

39.2%

Operating Expenses

Rs. 5,200,000

Accounting PBT

Rs. 4,600,000

Statutory Corporate Tax Reconciliation (Inland Revenue Act No. 24)

Standard CIT Rate: 30.0%

Commercial Net Profit Before Tax (PBT) **Rs. 4,600,000**

(+) Disallowable Expenses Add-back (Section 11) **+ Rs. 2,100,000**

Accounting Depreciation & Entertainment expenses disallowed for tax purposes.

• Accounting Depreciation (Section 11(1)(b) replacement by tax capital allowances) **Rs. 1,800,000**

• Entertainment & Hospitality (Section 11(1)(c) restriction on non-business hospitality) **Rs. 300,000**

(-) Deductible Tax Capital Allowances (Fourth Schedule) **-Rs. 1,500,000**

Allowances on qualifying Plant, Equipment & Buildings.

(=) Estimated Taxable Business Income **Rs. 5,200,000**

Estimated Corporate Income Tax (CIT) Liability (30.0%) **Rs. 1,560,000**

KEY TAX RISKS & OBSERVATIONS

SVAT reconciliation variance: Ensure Schedule 05 sales matches RAMIS SVAT declaration.

Motor Vehicle lease payment add-back cap per Section 16 must be validated by statutory auditor.



Pre-filing AI Verification Score: **94/100**

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